

the Wild Wild East, where movies were the only game in town.

Not anymore. Now it's Mumbai, Hollywood's flashier cousin, where suits are sharper than the numbers they wield and salesmen have more products to push than there are stars to flaunt. It is a Bollywood which seems shiny, happy and ever so hip. A Bollywood where producers make money even before the first show fills up on the first day and actors earn more from endorsing fizzy drinks than

they do for greenlighting films.

It's easy to be bedazzled. It's even easier to forget the grime that still exists on the studio floor, the sweat that still drips from the spot boy and the inexact science that still keeps hope floating. As Mukesh a.k.a. Mike Mehra, *Om Shanti Om*'s villainous producer returning home from Hollywood after 30 years, says to his old rival before a *mahurat*, "God, it's so damn primitive." Indeed, it is. Especially in comparison with another cultural juggernaut

which holds half the world under its sway with its last action heroes and its primed-up robots.

Nowhere is it more evident than in a new report *The New Economics of Indian Film Industry: Creativity and Transformation* by CII and A.T. Kearney. Despite annual reports by FICCI and one by Yes Bank, this is the most exhaustive analysis of the film industry in India—from who's watching movies to where and what they are spending. About time too because what it shows is a

THE BUSINESS OF BOLLYWOOD Multiplying multiplexes, booming ticket sales. But also rock-bottom ticket prices and pirated DVDs.

BOLLYWOOD Vs HOLLYWOOD **3.7 bn**
1.4 bn

Number of movie tickets sold in India in 2006

Number of movie tickets sold in the US in 2006

29% is the share of movies in the \$11 billion Indian media and entertainment industry. The share of television is 64 per cent.

16% is the share of movies in the \$261 billion US media and entertainment industry. The share of television is 59 per cent.

25% of Hollywood revenue comes from the box office and 40 per cent from home video sales

84% of Bollywood revenue comes from the box office and 8 per cent from home video sales

BOLLYWOOD Vs REST OF INDIA

20% of all the movies made in India are in Hindi

40% of the total movies made in India are in Tamil and Telugu

MOVIES GO MOBILE, BUT NOT NET SAVVY

6,00,000-8,00,000 ringtones are downloaded in India every day, generating Rs 180 crore every year. The market, growing by 50 per cent annually, may reach Rs 270 crore in 2008.

22% of the population has downloaded ring tones at least once

PASS THE POPCORN

Indian audiences don't spend more than Rs 20-25 on food and beverages, even in multiplexes

59%

of those who watch movies in India are between the ages of 15 and 35. Those under 15 comprise 14 per cent of the audience while 20 per cent comprises those between 35 and 45. Those over 45 form only 7 per cent of the audience. Youth rules, at least, off screen.

97% of urban youth prefer multiplexes to single screens

75%

of the small town population prefers watching movies at home rather than in theatres. More worryingly, 42 per cent of the people in small towns who chose to watch a movie at home bought pirated DVDs to do so.

